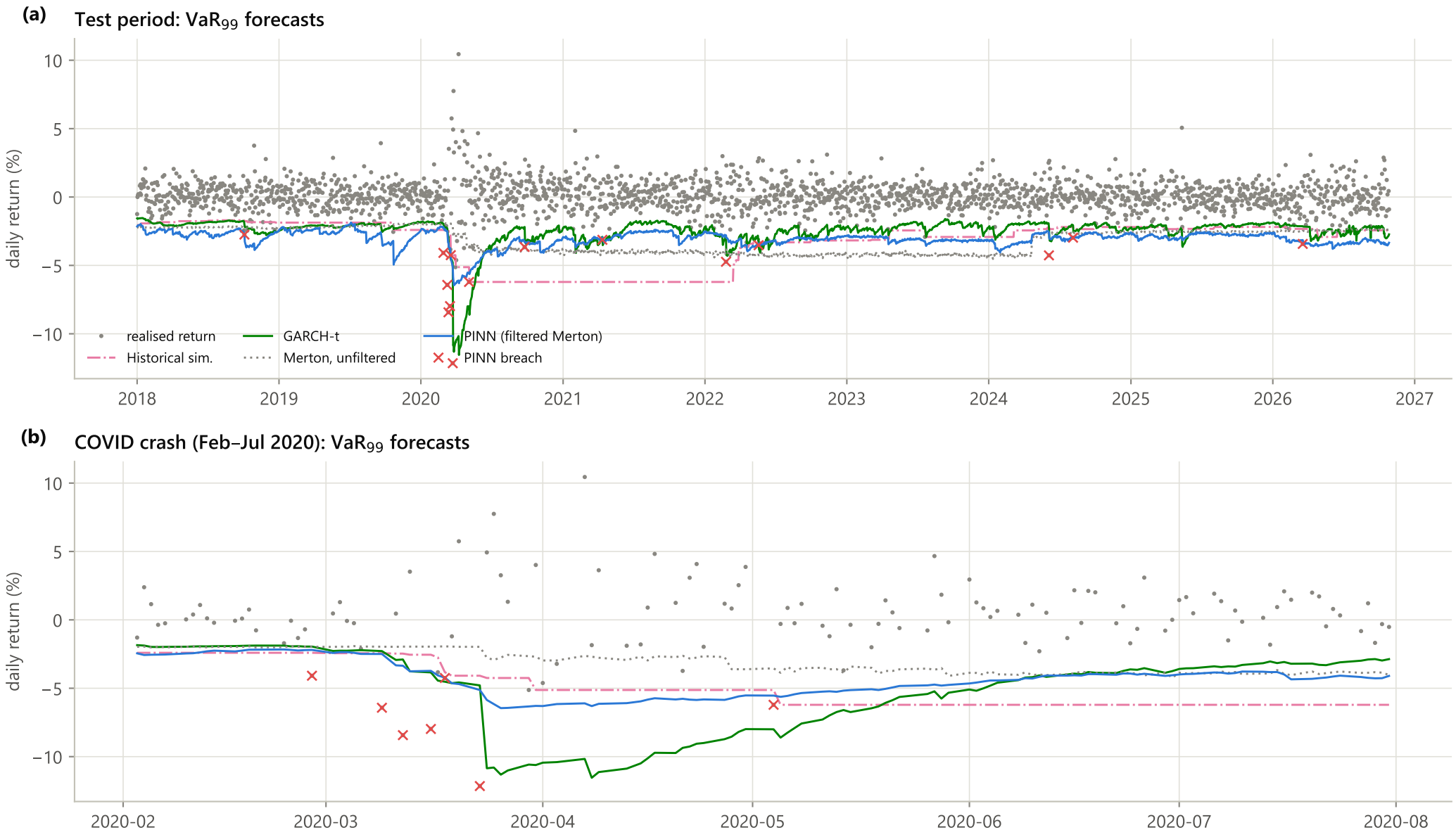

(a)
Test period: VaR99 forecasts
daily return (%)
10
5
0
−5
−10
realised return
Historical sim.
GARCH-t
Merton, unfiltered
PINN (filtered Merton)
PINN breach
2018
2019
2020
2021
2022
2023
2024
2025
2026
2027
(b)
COVID crash (Feb–Jul 2020): VaR99 forecasts
daily return (%)
10
5
0
−5
−10
2020-02
2020-03
2020-04
2020-05
2020-06
2020-07
2020-08